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GROUP COURSEWORK SUBMISSION COVER SHEET

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Part One

HILTON FOOD GROUP PLC (Hilton), which originated from primary meat processing in the 1960s, now operates 24 facilities with a turnover of over £3.8bn. As for the core business, it prioritizes delivering healthy protein to consumers and is committed to maintaining environmental sustainability. Its strategic approaches bolster the growth of its customers' brands, which focus on developing technology to strengthen their competitiveness. Meanwhile, its products are anchored in consumers' preferences, enhancing market competitiveness by analysing global food trends.

Lotus Health Group Company (Lotus) was founded in Henan Province in 1997. As a maker of China's MSG industry standard, its main business is the manufacture and sale of MSG and wheat-related products. However, it suffered a bankruptcy reorganization in 2020 due to chronic losses. After 3 years, Lotus took advantage of the webcast, so the performance proliferated. The purpose is 'serving humans a healthy, and delicious life', and its strategies focus on product innovation, market expansion, and promoting the traditional brand image.

Four distinct financial ratios categories have been calculated to assess Hilton and Lotus's operating performance and financial positions, which provide a comprehensive overview of their trends and anomalies over the past three years. Detailed interpretations will be systematically discussed in the subsequent sections.

Profitability	Hilton Food			Lotus Health		
	2023	2022	2021	2023	2022	2021
ROCE	10.96%	6.57%	11.72%	5.35%	2.00%	2.28%
ROE	11.82%	6.38%	12.76%	8.79%	3.22%	5.45%
GPM	10.79%	9.95%	9.69%	17.15%	14.11%	12.31%

First of all, Profitability Ratios will be analysed, which evaluate companies' operating efficiency. Hilton's ROCE and ROE decreased dramatically in the beginning, which indicated ineffective capital utilization, likely on account of the increasing operating expenses. Nevertheless, they suddenly rebounded, which may be caused by operational streamlining and equipment leasing. Additionally, a gradual growth from 9.69% to 10.79% of Hilton's GPM can be observed, because of the heightened market demand and selling prices. It was also owing to the sales of more high-margin products.

The variations of Lotus in ROCE and ROE within three years were extremely extensive, showing that sales in 2023 have achieved substantial surges. It mainly resulted from the shaping of traditional brand images in the long run and the success of live broadcasting triggered a buying boom. Moreover, the climb in GPM may be attributed to the cost reduction and relocation from cities to industrial parks for its businesses. In terms of pricing, the launch of the preferential combination of online shopping platforms facilitated the enhancement of performance and economies of scale and also increased the GPM.

In comparison, Hilton and Lotus showed vast differences in their returns and GPM. Hilton's Profitability was significantly greater than Lotus's, indicating its more efficient operating processes and outstanding abilities to turn over assets. Conversely, Lotus's

GPM was superior, since it was still in the expansion stage. While Hilton tended to be less price sensitive and showed relatively low GPM because the implementation of diversified products and large sales volume enabled it to hold a strong positioning in high-end markets or specific market segments.

Short-term liquidity	Hilton Food			Lotus Health		
	2023	2022	2021	2023	2022	2021
Current ratio	1.17	1.21	0.85	1.53	1.39	1.41
Quick ratio	0.81	0.77	0.60	1.40	1.33	1.33
Inventory holding period	18.4days	21.8days	19.2days	22.1days	20.7days	23.9days

Secondly, Short-term Liquidity Ratios are also important in embodying enterprises' solvency. Between 2021 and 2022, not only Hilton's Current Ratio (CR) markedly rose from 0.85 to 1.21, but also its Quick Ratio (QR) stably climbed from 0.60 to 0.77, which could be triggered by the gain in current assets and the reduction in accounts payables. In the meantime, Hilton's Inventory Holding Period has unsteadily fluctuated, climbing from 19.2 days to 21.8 days initially, with the soar in inventories being the key factor. Nonetheless, the subsequent marked plummet may have resulted from effective management strategies like just-in-time inventory systems.

Regarding Lotus, its short-term solvency was better. The CR and QR elevated steadily, with the speculation of overall performance improvement in 2023. The ratio of current assets to quick assets exhibited a negligible fluctuation, but the inventory holding period became longer, as the borrowing finance surged the cash.

In conclusion, Hilton's CR was generally stable. In 2022, the inventory turnover may lead to the rise of current assets, causing CR's improvement. Therefore, later it took conservative measures to accelerate turnover efficiency. Concerning Lotus, the sudden growth in the QR in 2023 might be brought about by extending quick assets such as cash through borrowing. It was plausible that with an upswing in sales volume, Lotus's strategies were more aggressive, and it would choose to borrow for rapid financing to maintain the growing trend.

Long-term financial stability	Hilton Food			Lotus Health		
	2023	2022	2021	2023	2022	2021
Gearing ratio	59.08%	62.85%	43.08%	54.53%	48.50%	51.69%
Interest cover ratio	2.30	2.21	3.96	3.39	14.86	327.75

Followed by Long-term Financial Stability Ratios, which advise on financing and management decisions. Hilton has issued bonds and taken out loans between 2021 and 2022. Therefore, its Gearing ratio substantially surged from 43.08% to 62.84%, which pointed out an over-reliance on debt financing, posing greater financial threats. On the other hand, Hilton's profit shrinkage resulted in the drastic plunge of Interest cover ratio from 3.96 to 2.21. Although it has been partially mitigated by reducing debt in 2023, the pressure to repay remained unchanged.

In 2021, Lotus's interest cover ratio soared significantly, directly driven by the adjustment of financing structure, so that the financial cost decreased from 19 million yuan to only 9.97 million yuan. The subsequent decline may be due to the growth in new borrowing. Based on the Gearing ratio analysis, as a manufacturing company,

although it paid off large debts, it spent a lot on expanding industrial parks and establishing computing power services. At the same time, long-term debt and asset investment have kept the debt-financing ratio within a risk range.

They both have relatively high debt ratios. In 2021, despite structural adjustments, Lotus faced increased debt pressures, dwindling consumer enthusiasm, and government subsidies under the pandemic, leading to an abnormal drop in the interest cover ratio. In addition, destabilizing factors, for instance, the increased gearing ratio, could also induce overestimates of profitability, whitewash in financial statements, and even bankruptcy risks. Nonetheless, later Hilton incurred more debts caused by strategic capital investment but was less likely to be bankrupt than Lotus with more financing channels and lower financing costs.

Investor	Hilton Food			Lotus Health		
	2023	2022	2021	2023	2022	2021
EPS	40.2p	19.7p	44.5p	￥0.07	￥0.03	￥0.03
P/E ratio	19.19	26.06	22.88	118.03	86.09	121.71

Investor Ratios also highlight stock investment and predict corporations' returns. Generally, Hilton's EPS bottomed out from 44.5p in 2021 to only 19.7p in 2022, because of the supply chain disruptions. Nevertheless, it successfully rocketed to the same level as before, attributed to optimized asset allocation in 2023, signalling renewed appeal to investors. Lastly, Hilton's P/E ratio saw considerable soar in the first two years, which could be brought about by the improvement of its financial position. On

the contrary, it diminished sharply to only 19.19 in 2023 owing to depressed market expectations and investors' sentiment on future development.

Lotus's EPS in 2023 was greatly affected by the revenue, up about 133.33% compared with 2022. The P/E ratio has also been recovered, although the short-term upward trend of the share price seemed promising. The balance sheets have reflected the accumulation of undistributed losses over the past several years. Combined with other financial data, it may be the consequence of years of deficits and a large amount of interest payable.

Investor ratios can be considered as a comprehensive reflection of the four aspects. Both companies' data show the exposure to global systemic risk, whether it was the impact of COVID-19 on the real economy or the financial markets tightness caused by the Federal Reserve's interest rate hike. Nonetheless, though Lotus's EPS shot up rapidly due to the performance improvements in 2023, its negative retained earnings over three years have suggested underlying issues. Despite the high investment returns, accumulated debt and financial manipulations can result in serious impacts. Conversely, Hilton's economies of scale and diversified portfolio helped to mitigate average risk, which explains why its P/E ratio remained more stable than Lotus's despite the similar debt level.

Part 2

Q1

1.1 How IAS2 and IAS36 are treated in international accounting standards

Our group chooses IAS2 and IAS36. IAS 2 governs the accounting treatment of inventory, encompassing identification, measurement, cost determination, and subsequent impairment issues. The principal advantage of this method lies in curbing asset overvaluation by valuing inventory at the lesser of cost or net realizable value (NRV), thereby promoting the caution and authenticity of financial reporting. It offers flexibility through the choice of FIFO or weighted average cost approaches, which ensures accuracy and timeliness with regular impairment checks. However, IAS 2 also has drawbacks, such as delayed recognition of the value of inventories during market upturns, subjective NRV estimates, the ban on LIFO, reduced comparability, and complex impairment tests. To bolster its effectiveness, it could refine the measurement of NRV, re-evaluate LIFO under certain conditions, and simplify disclosure requirements for SMEs. Overall, IAS 2 provides a comprehensive framework for inventory accounting with potential for improvement to address its challenges and limitations.

Nevertheless, IAS 36 on impairment of assets aims to prevent assets from being carried above their recoverable amount. Its merits comprise enhancing reporting’s honesty and prudence and improving decision-making quality. While limitations include the high demand for judgment and estimation, operational complexity, and potential financial statement volatility. To achieve advancement, IAS 36 could focus on better guidance,

explore automation, and strengthen disclosure requirements. Since IAS 36 is crucial for financial reporting quality, its subjectivity and costs necessitate ongoing refinement.

1.2 Alternative Treatments

Neither IAS 2 nor IAS 36 permits the use of accounting treatment procedures outside their prescribed frameworks. Enterprises are mandated to adhere strictly to the provisions of IAS 2 for the accounting of inventory, thereby assuring the accuracy and consistency of financial data. Similarly, concerning the accounting for impairment of assets, IAS 36 does not allow for any non-standardized approaches.

Q2

2.1 For Hilton

Upon examining the financial reports over three years, it was evident that Hilton has consistently applied the principle of valuing inventory at the lower of cost and NRV, following the terms of IAS 2. For instance, in 2021, when the market value of its inventory fell below cost, Hilton valued it at the lower market value, thereby the financial posture was meticulously delineated in alignment with the stringent criteria of international accounting principles. When determining the cost of inventory, Hilton employed standard cost methods to confirm the precision and rationality of cost calculation. The exclusion of indirect costs, such as abnormal waste and storage, were not explicitly tied to inventory placement, which exemplified a sound adherence to IAS 2 guidelines. Hilton's annual reports also detailed the processes used for impairment

testing of inventory, a practice that concretely implements the demands of IAS 2, guaranteeing that the valuation of inventory in the financial statements does not exceed its theoretical amount.

Moreover, Hilton’s annual reports demonstrated compliance with tenets of IAS 36, which mandated periodic valuation tests for impairment of both tangible and intangible assets to ascertain any indications of impairment. The financial reports described whether assets have been subject to the testing, and if the events have triggered impairment, such as declines in market demand, and deteriorations of the economic environment. When calculating the recoverable amount of assets, Hilton applied the procedure of fair value less costs of sales, particularly in the case of intangible assets about specific technologies or markets. In terms of assets that were primarily used in production, it executed a valuation technique whereby the future cash flows were forecast and then discounted to their present value. If an asset's carrying amount did indicate impairment, Hilton would recognise an impairment loss, which was reflected as an expense in the income statements.

In summary, Hilton's annual reports fully exhibited alignment with IAS 2 and IAS 36, enhanced the transparency and accuracy of financial reporting, showcased liquidity and operational efficiency, and safeguarded the interests of their investors and creditors.

2.2 For Lotus

Upon reviewing Lotus's financial reports during the past three years, it has not complied strictly with IAS 2. The cost of inventories, including purchasing, processing, and other costs, was measured at actual cost, which was not by the standard. Moreover, IAS 2 requires entities to perform periodic impairment tests on inventory to determine NRV. However, such assessments were not mentioned in Lotus's annual reports from 2021 to 2023. In addition, the reports skipped applying the provisions of inventory obsolescence, which failed to ensure the accuracy and reasonableness of cost calculations.

Furthermore, Lotus's annual reports also indicated that its actual operations deviated from the doctrines of IAS 36. It is recommended that when testing a group of assets for impairment indicators, the firms should assess the recoverable amount and carrying value of the assets as a whole. However, the reports mentioned that Lotus only examined and provided for impairment losses on each asset, which could not generate cash flow independently. Therefore, it disregarded effectively assessing and reflecting credit risk, which was contrary to the principles of IAS 36.

In summary, Lotus's annual reports neglected to adequately comply with the stipulations of IAS 2 and IAS 36, which might be influenced by some differences between CAS and IFRS. Corporations are obligatorily tasked with the selection of pertinent normative criteria to uphold the requisite standards of quality and performance.

Q3

Memo to the top manager

Hilton’s financial statements demonstrated strong adherence to both IAS 2 and 36. It should focus on adopting more advanced valuation techniques to enhance accuracy and decision-making in the future. Nevertheless, Lotus's behaviours revealed non-compliance with them. Its inventory wasn't valued appropriately, and rigorous asset impairment evaluations were omitted, neglecting provisions for obsolete stock and ignoring credit risk considerations. To address the issues, Lotus should decisively take corrective actions to ensure the accuracy and reliability of its financial statements, avoid potential penalties, and protect its reputation. The following steps are recommended to rectify the situation.

Firstly, it is supposed to audit inventory to align with IAS 2, and a comprehensive impairment review for inventory needs to be conducted to make necessary adjustments that reflect NRV. Secondly, Lotus needs to implement structured impairment testing procedures in compliance with IAS 36 requirements, guaranteeing that all impairment assessments are thoroughly documented and accurately represented in financial statements. Lastly, it should revise approaches of valuation test for impairment, and adopt a collective assessment model. It will also be accompanied by training for relevant staff to ensure more consistent applications of new impairment review models across the organization. All these measures are critical to maintaining the integrity of financial reporting and adhering to international accounting standards.

Part 3

Lies are false and inferior materials used to construct human society, which could be seen in diverse times and places, especially in situations involving interests, where they appear more frequently. For example, in human commercial activities, economic fraud is rampant.

The practices should be prohibited instantly. To this end, many relevant measures have been taken, such as formulating and implementing relevant laws and regulations, and verifying through third-party auditors. Among different actions, the output and verification of financial statements have always been one of the most extensive and common methods.

Generally, most companies issue their reports, consisting of real data, which reflects the corporations' losses, debt ratio, and other aspects. They can relatively and intuitively demonstrate various situations of the firms and are very important for those who are related to the enterprises, such as shareholders and employees. They are also directly associated with other events like taxation. Accompanying them is financial fraud, typically manifested as the use of false data, among other deceptive practices.

Hence, the detection of financial fraud through the examination of financial statements is a plausible strategy. A typical case relevant to it was the fraud incident of Kangmei Pharmaceutical. In its financial reports from 2015 to 2017, Kangmei claimed to possess a monetary capital of 15.8 billion, 27.3 billion, and 34.1 billion, but it was found that

Kangmei still had a large amount of borrowing, and its interest expense was much higher than the interest income. A series of abnormal conditions aroused public doubts, and the inquiry against Kangmei was published on the Internet. Soon, the China Securities Regulatory Commission (CSRC) set up a relevant team and found a large number of shocking frauds, including 150,000 false invoices, bank receipts, certificates of deposit, etc. The accumulated fake income reached 29.128 billion yuan, and the misleading profit was nearly 4 billion yuan. The capital error of about 30 billion yuan was said to be an accounting error, but the absurd wording has not been accepted by the public and law. Eventually, the CSRC criticized and punished the firm.

Analogously, in the two companies investigated in this article, Lotus has also faced similar problems. From August 2023 to January 2024, it was questioned for information disclosure that failed to comply with regulations. After conducting relevant investigations, it was discovered that the financial data contained discrepancies. It used 200 million idle raised funds to temporarily supplement working capital, of which 21.34 million yuan was used as long-term equity investment funds for its subsidiary Hangzhou Lotus Technology Innovation Co., Ltd. without disclosure. Meanwhile, Lotus's data on undistributed profits per share has been negative during the corresponding period, and no dividends have been paid for a considerable phase. Based on the above, it could be speculated that undistributed profits have been used for investment or other projects, which has led to dividends not being paid. Correspondingly, the portion of the company's funds that should have belonged to shareholders may have been misappropriated during the operation of funds, which could serve as a potential

indication of agency conflicts. The violation straightforwardly led to the punishment of some directors, managers, and financial directors.

In conclusion, auditors have obligations to ensure the authenticity and credibility of corporations' financial reports, which can be discussed in two circumstances. On the one hand, faults could be partially forgiven if the auditors' negligence or other unintentional factors lead to mismatching between results and actuality, and the outcomes coincidentally align with the inaccurately represented financial statements. However, from the perspective of dereliction of duty, auditors still need to assume a considerable degree of accountability. On the other hand, if auditors consciously commit financial reporting fraud, they would be responsible for the fraudulent behaviours of their client companies, as such conduct unequivocally contravenes the professional duty of care.

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